

system would like more educational institutes to offer degree courses in drones. Similarly, industry watchers say, the sector has failed to self-regulate by coming up with a solution for trackers—miniaturised GPS, radio frequency, Bluetooth or buzzer devices placed on drones for easy detection. More importantly, like the number plate on a car or the IMEI number on a mobile handset, they help in identifying the owner of the flying machine. Their use may, therefore, need to be mandated by the government in the interest of national security. Experts say the defence ministry, home ministry, Defence Research and Development Organisation, and the Bureau of Police Research and Development also need to give out contracts to industry and academia to develop multiple counter-unmanned aircraft system solutions. Although some contracts have been awarded,

cording to data intelligence platform Tracxn. And in FY23, the industry had already raised \$49.7 million till March 27. Manufacturers cite favourable government policies and the increasing adoption of drones across sectors as the primary reasons behind rising investor confidence. “Our IPO in December 2022 was oversubscribed by a record 262 times,” says DroneAcharya’s Srivastava. The company listed at ₹102 on December 23, 2022 and closed at ₹132 on March 24, 2023, up 144.4 per cent over its issue price of ₹54.

Garuda’s Jayaprakash says while investors have started showing interest, they were reticent about investing earlier as the drone segment was a highly regulated one. “The VC funding may be slowing down globally, but in India drone companies like ours are able to raise capital,” he says. Garuda recently raised \$22 million in a Series A round, the highest for an Indian drone start-up to date. Earlier, Reliance Industries had acquired a 51.78 per cent stake in Asteria for ₹23.12 crore in 2019. “Anybody who is doing differentiated work and not merely assembling imported parts will be sought out by investors in this developing innovation-driven ecosystem,” adds ideaForge’s Mehta.

Easy access to funding, though, still continues to elude many. “There are many other companies doing great work, but there is no visibility for them. Such companies eventually either shut down or get acquired. And that limits the segment’s growth potential,” says Jayaprakash. He feels that such start-ups can partly get around the challenge by being open to venture capital and angel investors. “Perhaps the government can create a separate Ministry of Start-

ups to help them [in their initial years]. Similarly, there should be a start-up exchange just like we now have an SME Exchange on the BSE.”

Meanwhile, the players are optimistic about achieving the government’s aim to become a \$20-billion industry by 2030. This bullishness is reflected in their actions. For instance, Qualcomm-backed ideaForge recently filed its prospectus with markets regulator Sebi for an IPO. The offering comprises a fresh issue of shares worth ₹300 crore and an offer for sale of 4,869,712 equity shares. Will that be oversubscribed like the DroneAcharya IPO? The answer is whirring in the wind. **BT**

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VERSATILE TECH Drones are used in many multi-billion dollar segments

their scale and variety may prove to be inadequate.

As the drone industry grows, so will the use and traffic of drones across the airspace. “There needs to be a check on the kind of rogue activities that have caused our industry to face a ban in the previous years. Therefore, a centralised UTM [Unmanned Aircraft System Traffic Management] capable of keeping all drone-based aerial activities in check is required for the whole country,” suggests DroneAcharya’s Srivastava.

FUNDING FACTS

Coming to funding, things have started looking up. Indian drone start-ups raised \$25.67 million in FY22, more than double the \$11.2 million they received in FY21, ac-